

July 20th, 2026

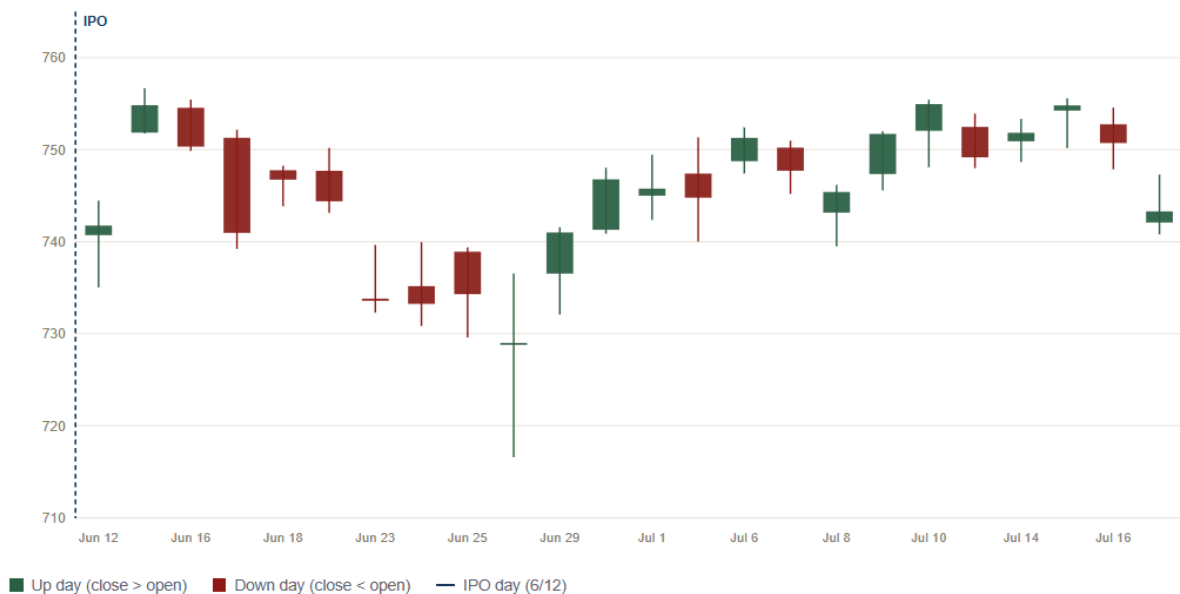
Dog Days of Summer

I attempted to write to you sooner, but summer tends to have its distractions. Since we last spoke, I've hardly moved a finger on any stock. At that time, we briefly discussed the idea of a potential SpaceX contagion causing some overall weakness in the market. Couple that with the dramatic spring we experienced, and you knew we were due for a feeble summer. I have not strayed from this opinion and I look forward to a stronger equity market as we near September. The below visual sheds light on the overall market's performance since the notorious IPO. Unsurprisingly, SpaceX has underperformed, returning -23%, while the market has stayed relatively flat during this same period. Momentum in the market seems to have stalled as well, with the momentum ETF SPMO down over 10% in July alone. Momentum is a strategy that generally performs well. Like any strategy, it becomes overcrowded and begins to fail for a stretch of time. From my perspective, we've entered such a time. Is this entirely the fault of one company? Absolutely not, but it is fun to try to assign blame. Overall, the market rarely performs well during the summer months for reasons I can't pin down either. Conventional wisdom points to the big boys being in the Hamptons, but that is hard to believe in today's automated market. Today, I'll be brief and follow up on a few prior comments made this year as well as share a few select stocks on my mind.

MARKET CHECK · SPY (S&P 500 PROXY)

The Whiplash, Candle by Candle — Since the SpaceX IPO

Daily OHLC, June 12 – July 17, 2026 · SpaceX priced its IPO on 6/12, marked by the navy line



IPO CLOSE (6/12)
741.75 (baseline)

LOW OF THE RANGE (6/26)
716.58 (-3.39%)

HIGH OF THE RANGE (6/15)
756.68 (+2.01%)

LATEST CLOSE (7/17)
743.29 (+0.21%)

Twenty-four trading sessions since SpaceX's June 12 listing: an eight-day whipsaw down to the June 26 low (-3.4% from the IPO close), a sharp recovery through mid-July, then the current chip- and AI-infrastructure-driven pullback. Net change since the IPO close: +0.2% — essentially flat, despite roughly 5.5% of intra-period chop. Source: Tiingo via stockanalysis.com.

In May, we discussed select AI bottleneck names (MU, SNDK, ALAB, MRVL, and BE) getting close to euphoric levels.

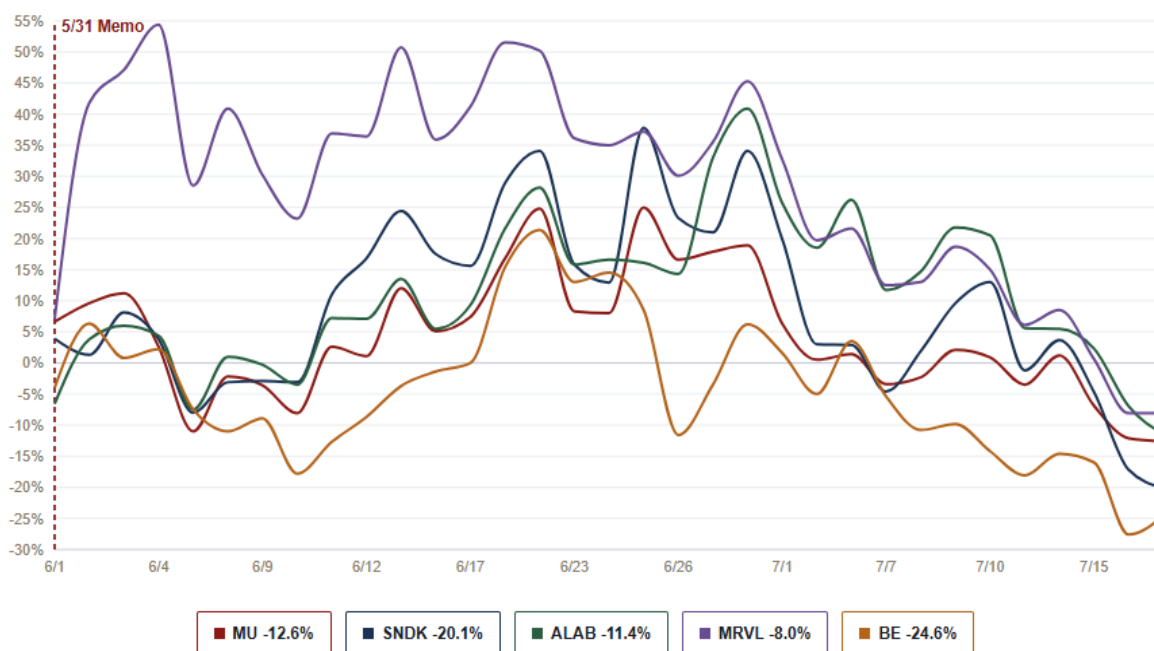
With that being said, anyone can review the respective charts and determine there appears to be some air building.

From the time of our last [memo](#), these stocks have been leaking air considerably, with Bloom Energy (BE) leading the way down. These names offer tremendous kurtosis, but that does not come without downside deviation. Plainly said, they run fast in both directions and have no sense of valuation whatsoever. For example, MU reported 350% revenue growth on June 24 and is down 30% since. That is only possible because these are bubble stocks and the main component driving them is price momentum. If you recall, we chastised INTC in a similar vein, calling them “a symbol of the bubble we are currently in.” They too are down over 30% in recent weeks.

SINCE THE 5/31 MEMO

Performance from 5/29 Close to Jul 17, 2026

Rebased to 0% at the last close before the memo — every name has round-tripped off its high



CHANGE SINCE LAST MEMO (5/29 CLOSE)

MU	SNDK	ALAB	MRVL	BE
-12.6% vs. 5/31 memo	-20.1% vs. 5/31 memo	-11.4% vs. 5/31 memo	-8.0% vs. 5/31 memo	-24.6% vs. 5/31 memo

Indexed to the May 29, 2026 close (last trading day before the 5/31 memo). Source: S&P Global Market Intelligence via stockanalysis.com.

We first called out MRVL as a *horse that can run wild* in the April [memo](#), after entering near \$90/share in late March. By mid-June, MRVL had appreciated over 260% from our March entry. True to my character, I was forced to sell the majority of my position around \$260/share. There are always hard feelings in selling and watching subsequent price increases, but emotional pain does not confirm error. You have to remind yourself that you've done "your part" in the context of the run-up in share price. I watch today from afar, trying to judge when these popular names will get to an exhaustion point and become appealing again. For now, popular bottleneck names are looking for that short-term bottom. I have no doubt that when overall market volume picks back up in Q3 that we will see a resumption of attention paid to these names. Time will tell if we are the ones participating again. For now, the market is weighing stable names more heavily and while the largest section in the market has struggled, other legs have stepped up to keep the S&P 500 near all-time highs.

Looking Ahead

As we move to survive the dog days of summer, I will more than likely continue doing very little with regard to new purchases. The market is simply not appealing to me right now, and while it seems to continue to ignore the ongoing conflict in the Middle East, I do not have full confidence that it will continue to do so. Names that we own, such as CASY, NGVC, and VG, tend to do well in these environments (inflation on).

As we write this, we are sitting at ~16% year-to-date across our tradeable accounts and I'm tempted to allow that gain to marinate a little while longer before resuming offense. If I were managing someone else's money, I'd more than likely disappear from working until the market became jubilant again. The market is not at its strongest right now and focusing on other aspects of life is time better spent. That being said, there are names like NFLX and UBER, which are intriguing on a value level, that continue to bleed ever so slightly. Mag7 is not far from that conversation either, where the world's greatest companies are trading <20x on whatever ratio you prefer to look at. I'll pause here to add that something appearing relatively "cheap" is not a strong enough reason to purchase it. Take, for example, McDonald's (MCD), which is currently trading at two-year lows, down over 20% in Q2 alone. While it appears cheap on every metric, you can't justify that as the determining reason to buy the stock. If your sole thesis is "buying at two-year lows," you'll find yourself holding the stock at five-year lows.

Software names (MSFT, PLTR, and RBRK) have virtually gone nowhere as well, with PLTR falling below our line in the sand of \$130/share. I took that as a moment to offload the holding and to watch them once again from the sidelines. As I've commented before, MSFT is your software barometer, and I have yet to see a change of tune so far. Based on online sentiment, almost everyone is trying to catch these falling knives. I'm not immune to such an idea, but I'd like to see a confirmation of strength before I can comfortably buy a name like MSFT again. All eyes are on the Mag7 this week as they prepare to report earnings, setting the stage for a potential shift in broader market sentiment. I still believe them all to be great long-term holds, with GOOGL being the top dog.

Almost every 2025-2026 trade item of ours (HIVE, ONDS, NOK, EOSE) is approaching very interesting levels and will be worth considering again here soon. The trick to trade items is that you need a strong current behind you and as far as I can tell, it does not currently exist in the market.

As we move along, I'm following ENS (energy), VST (energy), ULTA (consumer staples), NBIS (neo-cloud), TFIN (financial), and INOD (data) most closely. We discussed our VST position (average near \$150/share) in the April [memo](#). I own ULTA in a non-taxable account and I'm always looking for opportunities to add to that share cannibal on pullbacks. We are also awaiting earnings tomorrow from TFIN, a bank we called out at \$60/share in our February [memo](#). Not alone, the entire financial sector has outperformed in 2026. TFIN currently trades near \$80/share (+30%) headed into its July 21 earnings. If TFIN's earnings are anything like JPM's, I expect the stock to continue to do well. For now, nothing is giving me a reason to sell.

I hope you enjoy the remaining weeks of summer as the clock ticks away until opening kickoff in early September. I'll likely follow up with you at that time. Until then, feel free to review my memo archive located [here](#), and don't hesitate to reach out if you have any ideas.

All the best,

A handwritten signature in black ink, appearing to read 'Luke Cagle', with a stylized flourish at the end.

Luke Cagle
Cagle Family Interests, Ltd.